Circle Academic Resources

Entrepreneurship Basics

Examination Practice Handbook

Join The Circle

(One of the best decisions you can make for your academic journey)

Curated by Satya Prakash Samal

A Note to the Reader

Dear Reader,

Your examination preparation is incomplete without practice. Understanding concepts is important, but testing your knowledge helps you identify gaps, improve accuracy, and build confidence.

This Practice Handbook brings together important questions from all five courses prescribed for your BBA 1st Semester End-Term Examinations. These are questions we believe every student should attempt before entering the examination hall.

The handbook is designed to help you revise key concepts, assess your understanding, and become familiar with examination-oriented questions.

A special thank-you to our academic toppers for their valuable feedback and contributions in preparing these resources.

Practise with purpose. Learn from your mistakes. Enter the examination with confidence.

The Circle Practice Handbook

ENTREPRENEURSHIP BASICS

BBA CIRCLE

THE CIRCLE

ENTREPRENEURSHIP BASICS

50-QUESTION PRACTICE SET

25 Multiple Choice Questions · 25 Multiple Selection Questions

INSTRUCTIONS

Multiple Choice Questions: Select one correct option for each question.

Multiple Selection Questions: Select all correct options. A question may have more than one correct answer.

Multiple Selection Question marking:

1. One correct option + one wrong option selected: **No marks.**

2. Only one correct option selected, without selecting any incorrect option: **Partial marks.**

3. All correct options selected: **Full marks.**

4. Even if one incorrect option is selected: **Zero marks.**

SECTION A · MULTIPLE CHOICE QUESTIONS

Q01 · Multiple Choice Questions | 1 practice mark

A business model primarily explains how a venture:

A. Creates value, delivers it to customers, and captures enough value to continue

B. Chooses its logo and advertising colours

C. Registers its legal name only

D. Prepares an annual celebration

Answer: (A)

Q02 · Multiple Choice Questions | 1 practice mark

A founder uses a one-page framework to map customer segments, value proposition, channels, customer relationships, revenue streams, resources, activities, partners, and costs. Which framework is being used?

A. SWOT analysis

B. Business Model Canvas

C. Balance sheet

D. Risk register

Answer: (B)

Q03 · Multiple Choice Questions | 1 practice mark

A digital service offers a basic version at no charge and charges users for advanced features. Which commercial model does this describe?

A. One-time sale

B. Commission

C. Freemium

D. Asset-heavy model

Answer: (C)

Q04 · Multiple Choice Questions | 1 practice mark

A founder creates the smallest usable version of a product to test whether customers will complete a key task before investing heavily. This is a(n):

A. High-fidelity launch

B. Full commercial release

C. Annual business plan

D. Minimum viable product

Answer: (D)

BBA CIRCLE

Q05 · Multiple Choice Questions | 1 practice mark

A paper sketch is used to test whether users understand the broad layout and task sequence. What level of prototype fidelity is this?

A. Low fidelity

B. Medium fidelity

C. High fidelity

D. Production-grade

Answer: (A)

Q06 · Multiple Choice Questions | 1 practice mark

A team asks users to complete a realistic task while observers record hesitation, errors, and confusion. Which test method is this?

A. Concept test

B. Usability test

C. Financial audit

D. Market-sizing exercise

Answer: (B)

Q07 · Multiple Choice Questions | 1 practice mark

In market sizing, SAM refers to:

A. The entire global market regardless of the venture's offer

B. The exact sales already achieved

C. The portion of the market the planned offer and operating model can serve

D. The share captured by every competitor

Answer: (C)

Q08 · Multiple Choice Questions | 1 practice mark

Which section of a business plan gives a brief overview of the problem, solution, customer, model, traction, team, and funding request, and is usually written last?

A. Market analysis

B. Operations plan

C. Company description

D. Executive summary

Answer: (D)

Q09 · Multiple Choice Questions | 1 practice mark

Which statement correctly distinguishes a vision from a mission?

A. Vision describes the future the organisation hopes to help create; mission explains what it does, for whom, and how it contributes

B. Vision is the daily task list; mission is only the legal registration

C. Vision and mission are always identical

D. Mission is the financial forecast; vision is the cash balance

Answer: (A)

Q10 · Multiple Choice Questions | 1 practice mark

A venture has fixed costs of Rs.1,50,000 per month. It sells a unit for Rs.500 and incurs variable cost of Rs.350 per unit. What is its break-even quantity?

A. 750 units

B. 1,000 units

C. 1,250 units

D. 1,500 units

Answer: (B)

Q11 · Multiple Choice Questions | 1 practice mark

A go-to-market strategy connects target customer, value proposition, positioning, price, channels, promotion, and:

A. Only the founder's personal goals

B. Only the logo design

C. Launch operations and measurement

D. Only the company's registration date

Answer: (C)

BBA CIRCLE

Q12 · Multiple Choice Questions | 1 practice mark

A digital marketing funnel tracks awareness, interest, conversion, activation, and:

A. Depreciation

B. Share dilution

C. Inventory valuation

D. Retention or referral

Answer: (D)

Q13 · Multiple Choice Questions | 1 practice mark

Which financial statement shows assets, liabilities, and owners' equity at a particular point in time?

A. Balance sheet

B. Income statement

C. Cash flow statement

D. Sales funnel

Answer: (A)

Q14 · Multiple Choice Questions | 1 practice mark

A business has cash of ₹6,00,000 and an assumed net monthly cash burn of ₹1,20,000. What is its simple cash runway?

A. 3 months

B. 5 months

C. 6 months

D. 7 months

Answer: (B)

Q15 · Multiple Choice Questions | 1 practice mark

Which statement best describes working capital in the notes?

A. Only the venture's long-term fixed assets

B. The founders' ownership percentage

C. Resources tied up in day-to-day operations, including inventory, receivables, and payables

D. The total amount of money ever invested

Answer: (C)

Q16 · Multiple Choice Questions | 1 practice mark

A founder uses personal resources and customer revenue while managing spending carefully, rather than raising outside equity. This is called:

A. Venture capital

B. Equity crowdfunding

C. Debt financing

D. Bootstrapping

Answer: (D)

Q17 · Multiple Choice Questions | 1 practice mark

A funding programme provides money for an approved purpose, may restrict eligible costs, and can require milestone or impact reporting. This is a:

A. Grant

B. Ordinary bank overdraft

C. Founder equity split

D. Trade credit

Answer: (A)

Q18 · Multiple Choice Questions | 1 practice mark

An individual invests personal capital in an early-stage venture and may also provide advice or introductions. This person is usually called a(n):

A. Institutional lender

B. Angel investor

C. Auditor

D. Franchisee

Answer: (B)

BBA CIRCLE

Q19 · Multiple Choice Questions | 1 practice mark

A company has a pre-money valuation of ₹20 crore and receives a new investment of ₹5 crore. Under the simplified equity-financing assumption, what is the post-money valuation?

A. ₹20 crore

B. ₹22 crore

C. ₹25 crore

D. ₹30 crore

Answer: (C)

Q20 · Multiple Choice Questions | 1 practice mark

Using the figures in the previous question, what percentage of the post-money company does the new investor receive?

A. 10%

B. 15%

C. 25%

D. 20%

Answer: (D)

Q21 · Multiple Choice Questions | 1 practice mark

A startup grants employees options that become earned over time, subject to the plan's conditions. Which concept describes this earning of an equity-related right?

A. Vesting

B. A market-sizing estimate

C. A customer acquisition funnel

D. A revenue forecast

Answer: (A)

Q22 · Multiple Choice Questions | 1 practice mark

A venture increases customers and revenue through repeatable systems that maintain reliable delivery, while some resources or costs rise more slowly than activity. This is best described as:

A. Growth without control

B. Scaling

C. A one-time promotion

D. Liquidation

Answer: (B)

Q23 · Multiple Choice Questions | 1 practice mark

A risk register records a specific uncertain event, its likelihood, impact, owner or trigger, and:

A. Only the founder's opinion

B. The company's slogan

C. A prevention or response action and review

D. Only the annual revenue

Answer: (C)

Q24 · Multiple Choice Questions | 1 practice mark

At the end of a pitch, a founder summarises the problem, strongest evidence, next milestone, and a specific request for a pilot or investment discussion. Why is this an effective close?

A. It introduces an unsupported claim at the last moment

B. It avoids stating what the audience should do next

C. It replaces evidence with a long personal history

D. It makes the next step clear and links the request to the evidence presented

Answer: (D)

Q25 · Multiple Choice Questions | 1 practice mark

A social enterprise tracks not only the number of people trained but also whether participants obtain sustained paid work. The latter is an example of an:

A. Outcome

B. Input

C. Activity

D. Output count

Answer: (A)

BBA CIRCLE

SECTION B · MULTIPLE SELECTION QUESTIONS

Q26 · Multiple Selection Questions | 1 practice mark

Which statements describe the three parts of a business model's value logic?

A. Value creation concerns the benefit customers care about

B. Value delivery explains how customers find, buy, and receive the solution

C. Value capture is only the design of the company logo

D. Value capture explains how the venture earns revenue and covers costs

Answer: (A, B and D)

Q27 · Multiple Selection Questions | 1 practice mark

Which are building blocks of the Business Model Canvas?

A. Customer segments

B. Employee birthdays and office seating are two of the nine Business Model Canvas building blocks.

C. Value proposition

D. Founder hobbies replace the cost structure and revenue streams in the Canvas.

Answer: (A and C)

Q28 · Multiple Selection Questions | 1 practice mark

Which statements about common commercial business models are correct?

A. A freemium model requires every user to pay the same fee before accessing any basic feature.

B. A subscription involves recurring payment for continuing access or service

C. A commission model earns a fixed fee unrelated to any transaction.

D. Freemium offers a basic version free and paid advanced features or capacity

Answer: (B and D)

Q29 · Multiple Selection Questions | 1 practice mark

Which statements about social business models are correct?

A. The beneficiary and payer may be different people or organisations

B. Social purpose means the venture does not need financial continuity

C. A social venture may earn revenue while keeping impact central to its mission

D. Cross-subsidy can use surplus from one group or product to support lower-cost access for another

Answer: (A, C and D)

Q30 · Multiple Selection Questions | 1 practice mark

Which factors are relevant when assessing product feasibility and usefulness?

A. A product is feasible whenever its founder likes the idea, even if it cannot be built or delivered.

B. Desirability: whether a real user wants the solution

C. Feasibility: whether the team can build and deliver it

D. Viability: whether the model can create economic value or secure sustainable resources

Answer: (B, C and D)

Q31 · Multiple Selection Questions | 1 practice mark

Which statements about MVPs and prototypes are correct?

A. An MVP is the smallest usable version or test arrangement that allows learning about an important assumption

B. A low-fidelity prototype may be a sketch or paper screen

C. A medium-fidelity prototype may be a clickable mock-up or partial workflow

D. A prototype should always be high fidelity before the team has identified what it needs to learn.

Answer: (A, B and C)

Q32 · Multiple Selection Questions | 1 practice mark

Which are recognised user-testing methods in the notes?

A. Customer interviews

B. A valid user test needs no defined task, participant, observation, or decision rule.

C. Usability tests

D. Concept tests

Answer: (A, C and D)

BBA CIRCLE

Q33 · Multiple Selection Questions | 1 practice mark

Which steps form the Build-Measure-Learn approach?

A. The team should scale the full product before measuring whether the main assumption is true.

B. Build a minimum testable version

C. Measure meaningful user behaviour

D. Compare the evidence with the assumption and learn

Answer: (B, C and D)

Q34 · Multiple Selection Questions | 1 practice mark

Which statements about TAM, SAM, and SOM are correct?

A. TAM describes the broad total addressable market

B. SAM is the portion the planned offer and operating model can serve

C. SOM is the broadest possible market before applying any customer, geography, or capacity filter.

D. SOM is the realistic share the venture can initially obtain

Answer: (A, B and D)

Q35 · Multiple Selection Questions | 1 practice mark

Which items are among the common sections of a business plan?

A. Executive summary

B. A founder's personal social-media calendar replaces market analysis, operations, and financial projections.

C. Market analysis

D. Operations and organisation

Answer: (A, C and D)

Q36 · Multiple Selection Questions | 1 practice mark

Which elements should an organisation plan address?

A. Complementary skills needed across product or service delivery, customer acquisition, finance, and operations

B. Clear responsibilities, decision authority, and reporting arrangements

C. Capability gaps and how they may be filled through hiring, contractors, advisors, or partners

D. A rule that team culture is only a slogan and does not depend on repeated behaviour

Answer: (A, ,, , B, , a, n, d, and C)

Q37 · Multiple Selection Questions | 1 practice mark

Which elements should be connected in a go-to-market strategy?

A. A channel should be selected only because it is fashionable, regardless of customer access or fulfilment.

B. Target customer and customer problem

C. Value proposition and positioning

D. Price, channels, and promotion

Answer: (B, C and D)

Q38 · Multiple Selection Questions | 1 practice mark

Which items are commonly included in an investor pitch deck?

A. The customer problem and the proposed solution or product

B. Market opportunity, business model, and go-to-market approach

C. Every detailed financial schedule in tiny text on the main slides, without an appendix

D. Traction, team capability, financial outlook, and the specific funding ask

Answer: (A, ,, , B, , a, n, d, and D)

Q39 · Multiple Selection Questions | 1 practice mark

Which statements correctly distinguish the three financial statements?

A. The income statement shows revenue, expenses, and profit or loss over a period

B. Borrowing cash is automatically recorded as operating profit in the income statement.

C. The balance sheet shows assets, liabilities, and owners' equity at a date

D. The cash flow statement shows cash received and paid by activity

Answer: (A, C and D)

BBA CIRCLE

Q40 · Multiple Selection Questions | 1 practice mark

Which items may be used as drivers in a revenue forecast?

A. Enquiries and bookings are always identical to completed and paid transactions.

B. Number of customers

C. Order frequency and average order value

D. Price, conversion, renewal, and refunds

Answer: (B, C and D)

Q41 · Multiple Selection Questions | 1 practice mark

Which statements about working capital, burn rate, and runway are correct?

A. Working capital concerns resources tied up in day-to-day operations

B. Burn rate measures the rate at which cash is reduced over a stated period

C. Runway estimates how long cash may last at an assumed net burn rate

D. A cash inflow from borrowing is the same as operating profit

Answer: (A, B and C)

Q42 · Multiple Selection Questions | 1 practice mark

Which statements about bootstrapping, angel investment, and grants are correct?

A. Bootstrapping can preserve ownership but may slow growth or concentrate risk on founders

B. An angel investor typically invests personal capital in an early venture

C. A grant never has conditions or obligations

D. A grant may restrict permitted uses and require documentation or reporting

Answer: (A, B and D)

Q43 · Multiple Selection Questions | 1 practice mark

Which statements about crowdfunding are correct?

A. It can raise contributions from a large number of people through a campaign or platform

B. A successful campaign automatically proves repeat demand and profitability

C. Forms may include donation, rewards or pre-orders, lending, and equity where permitted

D. Pre-orders create a fulfilment obligation for the venture

Answer: (A, C and D)

Q44 · Multiple Selection Questions | 1 practice mark

Which statements about venture-capital funding stages are correct?

A. All investors use one fixed and universal definition for every venture-capital funding stage.

B. Pre-seed may focus on problem exploration and feasibility

C. Seed may focus on product and initial business-model validation

D. Early growth may require evidence of repeatable acquisition, retention, and contribution

Answer: (B, C and D)

Q45 · Multiple Selection Questions | 1 practice mark

Which statements about valuation and dilution are correct?

A. Post-money valuation in the simplified case equals pre-money valuation plus new investment

B. Investor ownership in the simplified example equals investment divided by post-money valuation

C. A company's valuation is an objective fact directly observable in its bank balance.

D. Dilution occurs when new shares or equity rights reduce existing holders' ownership percentages

Answer: (A, B and D)

Q46 · Multiple Selection Questions | 1 practice mark

Which areas may be examined during investor due diligence?

A. Financial accounts, revenue quality, liabilities, cash, and forecasts

B. Investor due diligence is limited to reviewing the founder's biography and excludes legal and operational matters.

C. Legal ownership, contracts, disputes, compliance, and intellectual property

D. Customers, competitors, suppliers, and retention

Answer: (A, C and D)

Q47 · Multiple Selection Questions | 1 practice mark

Which statements about intellectual property are correct?

A. Copyright gives ownership over any general idea, even if it has not been expressed in an original form.

B. Patents may protect qualifying inventions subject to applicable requirements

C. Trademarks help distinguish the goods or services of one source from another

D. Copyright can protect original expression, not a bare idea

Answer: (B, C and D)

BBA CIRCLE

Q48 · Multiple Selection Questions | 1 practice mark

Which statements about legal foundations and agreements are correct?

A. Founder, employee, supplier, and customer arrangements should be clearly documented

B. Employment or contractor terms may address scope, payment, confidentiality, IP, and termination

C. Paying a contractor automatically transfers every intellectual-property right in all circumstances

D. Regulatory requirements depend on the product, operating model, location, and applicable law

Answer: (A, B and D)

Q49 · Multiple Selection Questions | 1 practice mark

Which statements about growth, scaling, and growth experiments are correct?

A. Growth may increase customers, revenue, transactions, or locations

B. Growth hacking is a guaranteed shortcut and does not require a hypothesis, measurement, or decision rule.

C. Scaling uses systems that support greater activity reliably and efficiently

D. A growth experiment should state a hypothesis, target group, measure, period, and decision rule

Answer: (A, C and D)

Q50 · Multiple Selection Questions | 1 practice mark

Which statements about risk management and social entrepreneurship are correct?

A. Counting the number of people reached alone proves long-term social impact, so outcomes need not be measured.

B. A risk register should identify a risk, likelihood, impact, owner or trigger, and response

C. Risk responses can include avoid, reduce, transfer or share, and accept with monitoring

D. Social impact logic links need, inputs and activity, outputs, outcomes, and longer-term impact

Answer: (B, C and D)

The Circle.

This is an independently created, student-led resource and is not affiliated with, associated with, endorsed by, or sponsored by any institution or university. All content has been compiled using freely available YouTube videos and publicly accessible online resources for educational and self-study purposes.